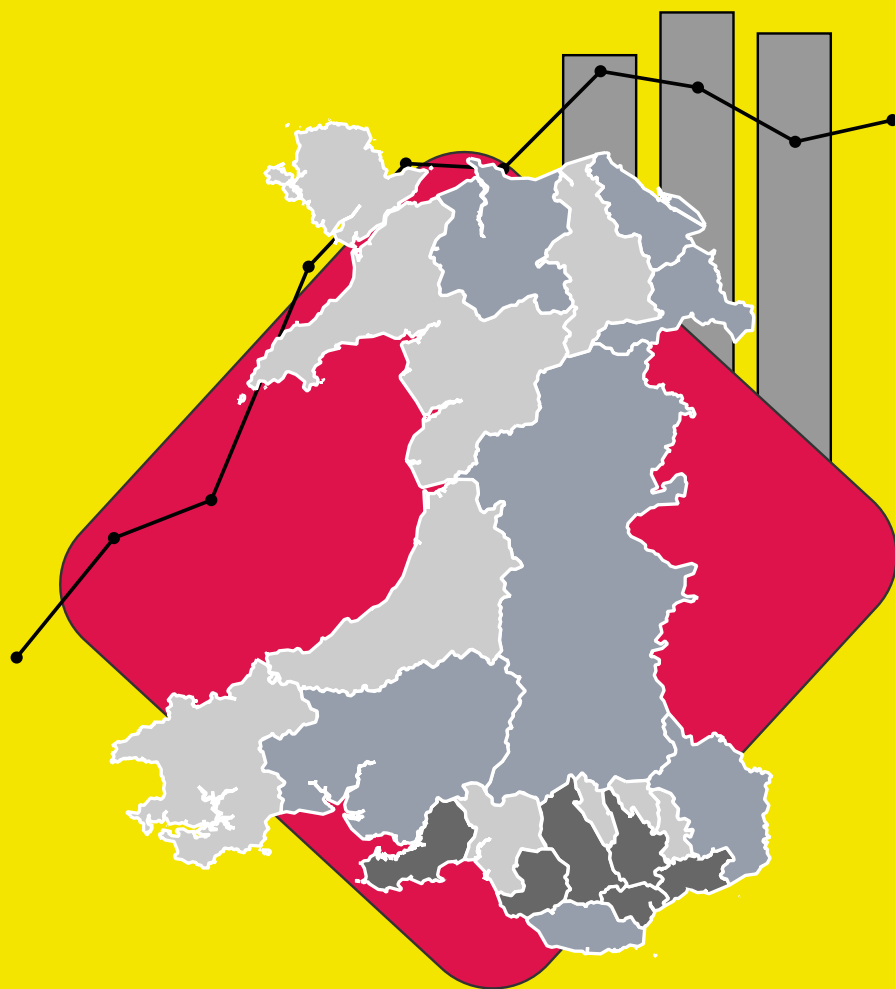




Investing in Wales

The Welsh High-Growth
Ecosystem 2021

Banc 

Beauhurst

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Scope and methodology

Scope of the Investing in Wales report: focused on high-growth companies and those that have received equity investment (2011–2020)

4.2m private UK companies

with their latest Companies House status as active

121k Welsh companies

registered or headquartered in Wales

1,215 high-growth Welsh companies

currently active and have met
Beauhurst's growth criteria

**523 Welsh companies
that have raised equity finance**

between 2011 and 2020

Methodological notes:

How Beauhurst identifies high-growth businesses

HIGH-GROWTH TRIGGERS

Beauhurst identifies ambitious businesses using eight triggers below that suggest a company has high-growth potential. More detail on Beauhurst's tracking triggers is available [via its website](#).



Equity investment

Companies that have received any amount of equity investment, from individuals or organisations.



Academic spinouts

Companies that have spun out of a UK academic institution.



Scaleups

Companies that have achieved 10% or 20% year-on-year growth in headcount or turnover, over a three-year period.



High-growth lists

Companies that have been listed on one of the UK's top high-growth lists.



Accelerator attendance

Companies that have completed one of the UK's top business accelerator programmes.



Major grant recipients

Companies that have received an innovation grant from a selected programme.



MBO/MBI

Companies that have completed a management buy in/buy out.



Venture debt

Companies that have received any amount of venture debt.

EQUITY INVESTMENT

To be included in the analysis, any investment must be:

- Some form of equity investment
- Secured by a non-listed UK company
- Issued between 1 January 2011 and 31 December 2020

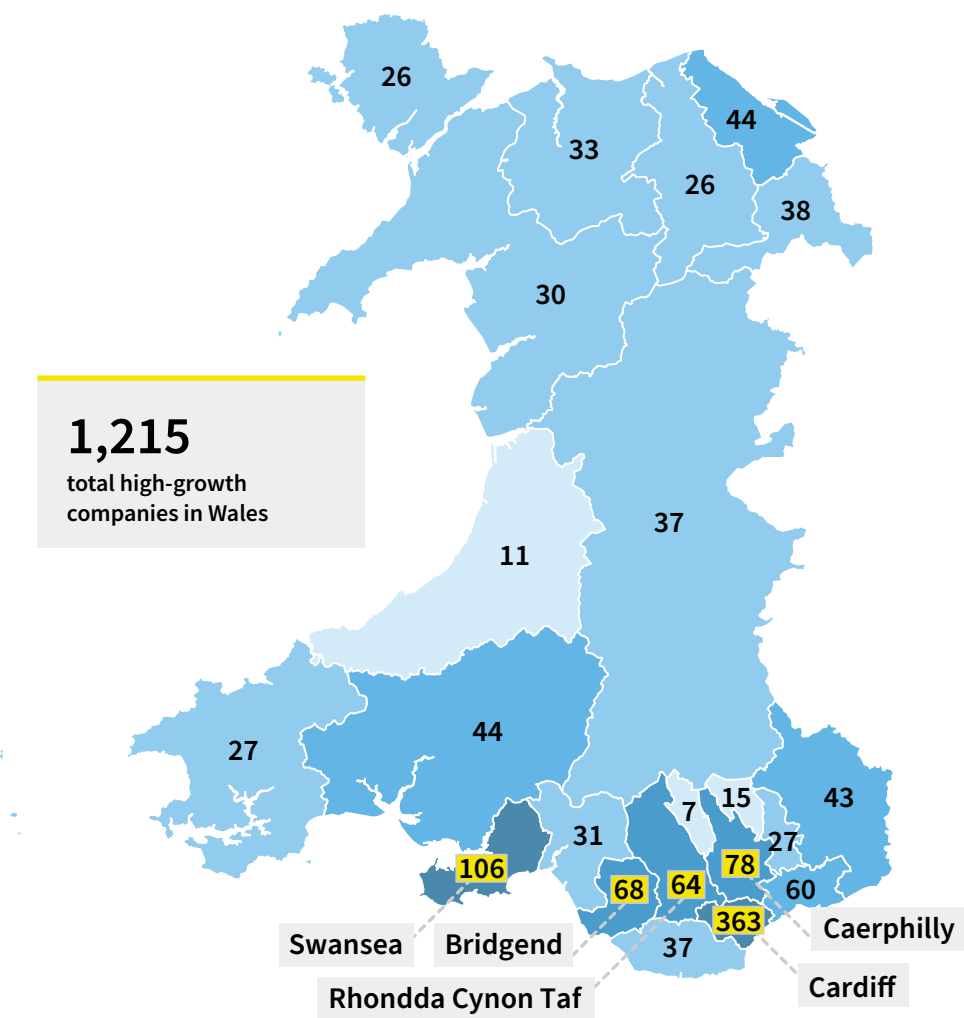
ANNOUNCED AND UNANNOUNCED FUNDRAISINGS

An unannounced fundraising is an investment made into a private company that is completed without press coverage or a statement from the recipient company or funds that made the investment. These transactions are an integral part of the UK's high-growth economy, accounting for around 70% of all equity transactions.

The Welsh high-growth ecosystem

Number of high-growth companies per Welsh local authority

1 100+ Top five most populous local authorities





Giles Thorley, Chief Executive Officer at the Development Bank of Wales

The last ten years has seen an extraordinary increase in high-growth startups and scaleups across the UK. These fast-growth businesses, particularly in the tech sector, have driven job creation, attracted record levels of investment and created a world-class ecosystem of entrepreneurs.

The research conducted by Beauhurst and sponsored by the Development Bank of Wales in this report shows that Wales is playing an increasingly important role in the growth of British startups and scaleups.

The numbers speak for themselves. Wales has 1,215 high-growth companies

which have raised £882m since 2011. Technology businesses accounted for 28% of these, and Cardiff and Swansea have firmly established themselves as two of the most exciting and dynamic tech clusters in the UK. This is a story of home-grown talent in Wales producing world-class businesses with significant valuations.

The last 18 months have been challenging for everyone. I'm very proud of the role the Development Bank of Wales has played in providing additional loans through the COVID-19 Wales Business Loan Scheme. This report demonstrates that Welsh high-growth businesses have shown remarkable resilience during the pandemic. In fact, 2020 was a record year for Welsh investment, with £129m raised by high-growth companies and 19,453 new companies incorporated.

Whilst this research examines investment activity in Wales since 2011, what I find most exciting is what this data tells us about the future of the high-growth ecosystem in Wales.

A fifth of the high-growth companies in Wales have female founders. Whilst more needs to be done to increase this figure, it demonstrates the start of a community that is truly embracing gender diversity in business. More than a third of the funding

rounds were first time equity deals, which suggests a strong base of new, ambitious companies aiming for rapid growth. The race is on to establish the first Welsh tech unicorn, but it is encouraging to see that we have created a pipeline of early stage, high potential businesses. Wales can be the engine room generating the next generation of British tech success stories.

"This is a story of home-grown talent in Wales producing world-class businesses with significant valuations... Wales can be the engine room generating the next generation of British tech success stories."

Of course, there is more to do and I hope this is just the beginning of a golden age for Welsh startups and scaleups. The Development Bank of Wales is working hard to stimulate growth in regions beyond Cardiff and Swansea to build momentum in other regions across the country.

We are also working to encourage more co-investment into the Welsh market. We've seen increasing investment activity from firms like the IP Group, BGF, LDC, Wealth Club and crowdfunding platforms like Seedrs. Welsh businesses have now secured funding from investors in 14 different countries around the world. The

Development Bank of Wales is aiming to diversify the market further to connect Welsh businesses to new investment firms in the UK and overseas.

Most importantly, I think this report demonstrates the importance of equity investment for Welsh businesses. High-growth UK companies that received equity investment grew turnover by

19.6%, compared to 5.6% for companies that didn't secure equity investment.

My message to Welsh entrepreneurs is to find the right investor with shared values and goals and to use the funding support available to help realise the ambitions of your business. The Development Bank of Wales wants to hear from you and accelerate your growth.

My thanks to Beauhurst and to everyone who has contributed to this report. I hope you enjoy reading it and recognising the potential in the Welsh high-growth ecosystem.



Henry Whorwood, Head of Research and Consultancy at Beauhurst

During the pandemic it was driven home quite clearly that the devolved nations of the UK have their own governments, agendas, and demographics. This is as true for business populations as anything else: for all the commonalities across the UK there are as many idiosyncrasies. For this reason, looking at specific geographies in depth is hugely rewarding, so we are grateful for the support of the Development Bank of Wales (Banc Datblygu Cymru) that has allowed us to produce this report

to look at the Welsh entrepreneurial ecosystem in depth.

Wales is currently home to nearly 138,000 companies, 1,215 of which we've been able to identify as high-growth, innovative and ambitious businesses. These businesses represent 3.5% of the UK's high-growth population, which means that Wales already punches above its weight because it's home to only 2.8% of the general business population.

These startups and scaleups are to be found across Wales, but with prominent hubs in Cardiff (spilling over into Caerphilly) and Swansea. Outside of these hubs, however, there's an opportunity: in Conwy, for example, only 0.7% of the companies there are high-growth businesses. Indeed, Robin Millar MP for Aberconwy recently hosted an event with the Entrepreneurs' Network convening experts to come up with practical ideas to improve the entrepreneurial ecosystem in Llandudno.

Despite this potential, some of it remains untapped: Wales is home to 3.5% of the UK's high-growth companies, but only receives 2.5%

of the UK's equity investment deals. External investment—and in particular equity investment—is an important catalyst for growth. Businesses using equity investment grow faster: not only

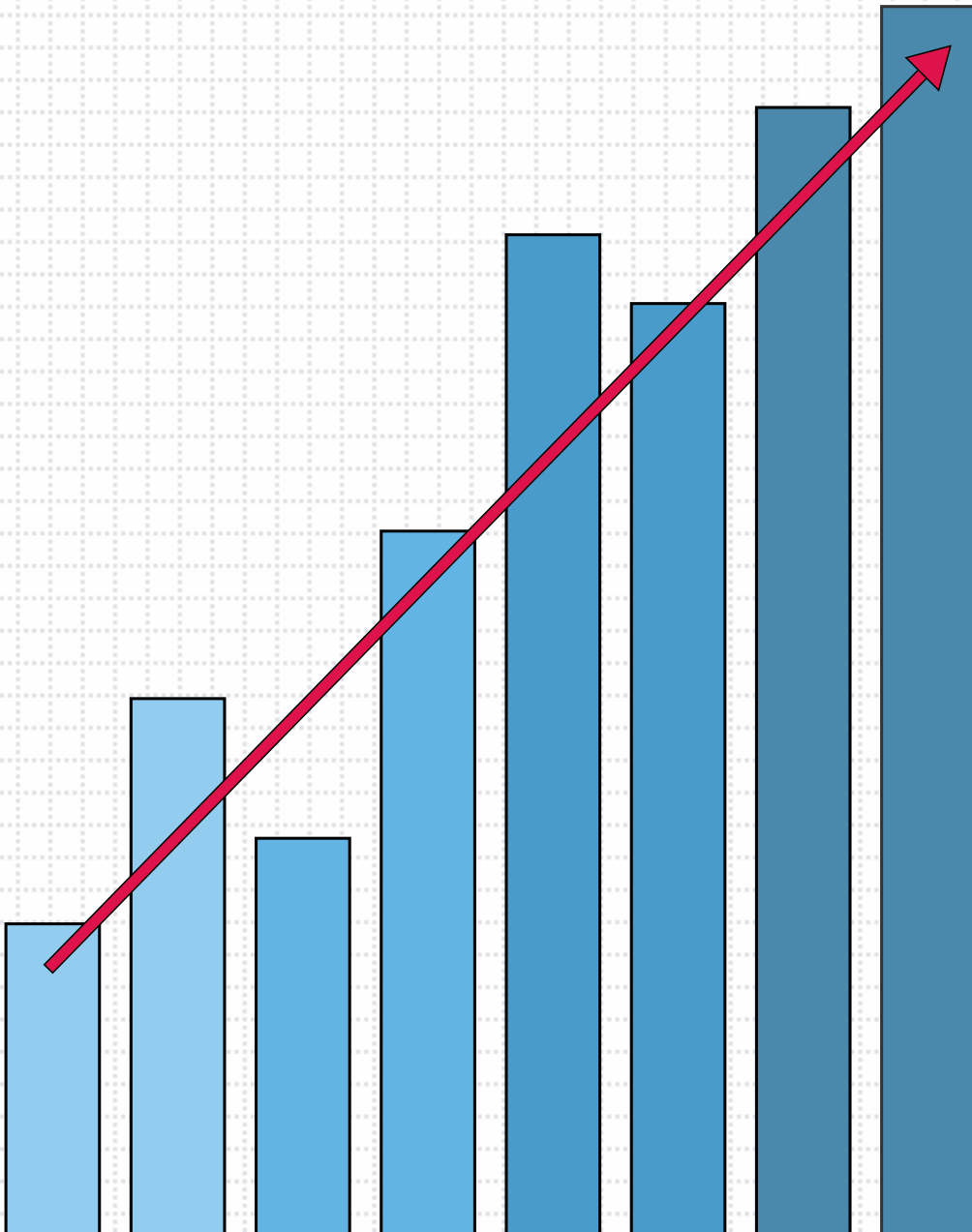
Bank of Wales, crowdfunding platforms, IP Group and Fusion IP. A total of 210 different funds have backed Welsh companies since 2011, the majority of which are based outside of Wales.

"Despite the potential, some of it remains untapped: Wales is home to 3.5% of the UK's high-growth companies, but only receives 2.5% of the UK's equity investment deals. External investment—and in particular equity investment—is an important catalyst for growth."

because it allows them to invest in equipment, staff and other tools, but because the investment often brings extra expertise to the table. An angel's contribution to a fast growing business isn't (and perhaps shouldn't be) limited to their money; their advice and connections can often be invaluable too.

Although other parts of the UK win the lion's share of investment, 2020 was nonetheless a record year for investment in Wales. £129m was invested into Welsh startups and scaleups—the most in any year so far. This investment comes from a variety of sources including the Development

Clearly those investors have seen the opportunity that Wales and its startups and scaleups offer, but there's much more potential to be tapped. A record 19,453 companies were incorporated in Wales in 2020 (and another record 5,829 in the first quarter of 2021). This latest crop of companies are more diverse than older companies: nearly a quarter have all female directors; 69% of them are outside Cardiff or Swansea. With the right support and—crucially—the right investment, these startups could scaleup and drive recovery from the pandemic in Wales.



1

Introduction to equity finance

- Equity finance and how companies use it
- Correlation between equity finance and growth

Equity finance and how companies use it

Equity finance

The issuance and sale of new shares by a company to fund its growth.

As a means of funding innovation, equity finance plays an essential role for economic development in the UK. Innovative companies may need equity finance at the very earliest stage of business right through to being a mature, even profitable, firm. Few raise capital only once, particularly as equity investment can support many different goals of a developing business; from taking on new staff and opening office space, to R&D projects and breaking into new markets. Page 6 of this report demonstrates the correlation between the turnover and headcount growth rates of high-growth companies in the UK with receiving equity investment.

High-potential businesses can navigate a wide landscape of equity sources, including venture capital, private equity, angel investors or crowdfunding. The very earliest stage businesses may take equity investment from business angels and angel networks as other investor types may not yet be willing to part with funds. Venture capital funds can also be a funding opportunity for young and therefore more high-risk businesses, while private equity firms look to invest in those more established. Other sources of finance include funds backed by universities, government or not-for-profit organisations. An increasing number of businesses are looking for equity via crowdfunding, which usually operate online and allow more investors to participate on a smaller scale.

Though some may feel that equity investment represents a relinquishing of control when new shares are allocated to investors, there are great benefits of equity finance—and more than just the money itself. The right investor can provide expertise in growing a business from management experience to knowledge of the sector. Many angel

investors have launched funds after exiting their own successful startups. Investor relationships can also offer access to networks of useful contacts; these may form further mentors or even become a company's next investor. Equity finance from certain investors can also help to raise the profile of a young company, further aiding its growth.

After the pandemic, the rapid company growth borne out of equity finance is more important than ever, driving employment and the economy on all levels, particularly in the regions outside well-known investment areas. Whilst Wales is home to 3.5% of the UK's lifetime total of high-growth companies, only 2.5% of equity investment deals are secured by these businesses. Meanwhile, 33% of the high-growth companies in the UK are headquartered in London, yet these receive 48% of equity deals. Certainly deserving greater investment, Wales is an expanding ecosystem offering a wide pool of innovative developing companies looking to secure equity and reap its benefits.

48,104

total equity deals for high-growth UK companies 2011-2020

£85.4b

total value of equity deals for high-growth UK companies 2011-2020

1,201

total equity deals for high-growth Welsh companies 2011-2020

£882m

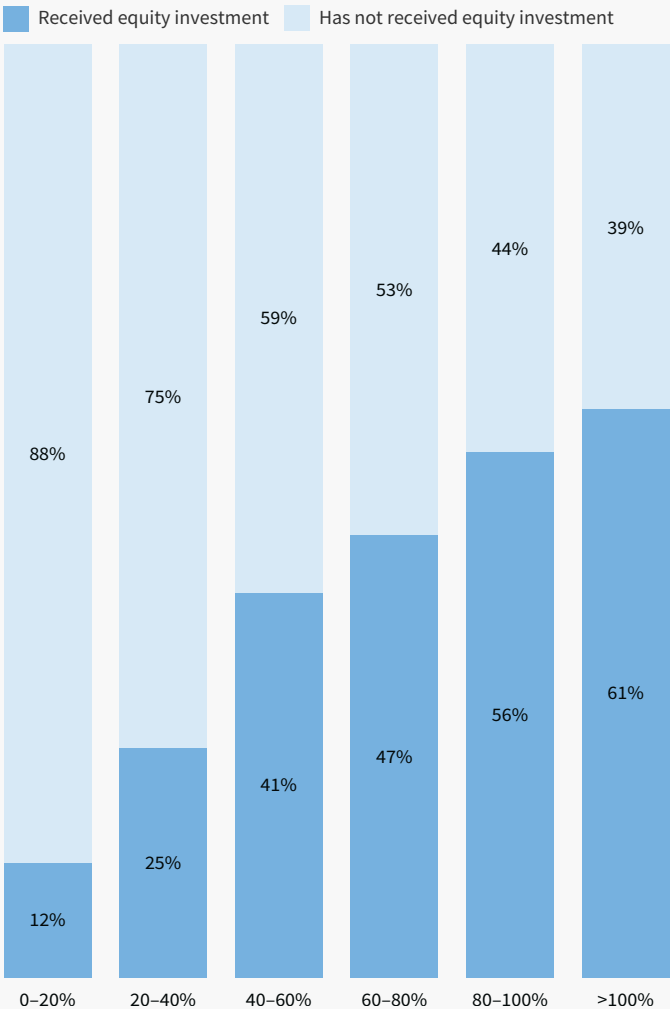
total value of equity deals for high-growth Welsh companies 2011-2020

Equity finance and growth

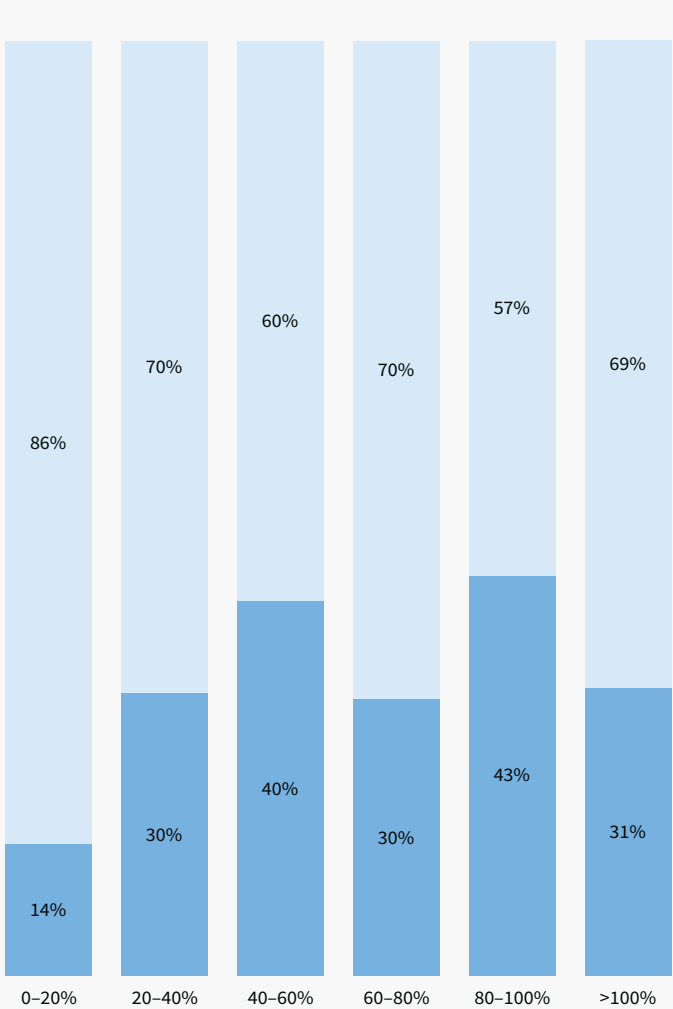
The charts below show receiving equity investment is associated with higher three-year compound annual growth rates (CAGRs) in turnover and headcount. Of the companies that had achieved the impressive feat of more than 100% annual growth in turnover over the last three years, 61% have received equity investment. The mean three-year CAGR for companies that had received equity investment was 19.6% compared to only 5.1% for companies that had not.

While increasing employee headcount has a less clear relationship with having received equity investment, the chart below shows that higher compound annual growth rates in headcount are also associated with receiving equity investment.

Three-year turnover CAGR (latest accounts 2018–2021)

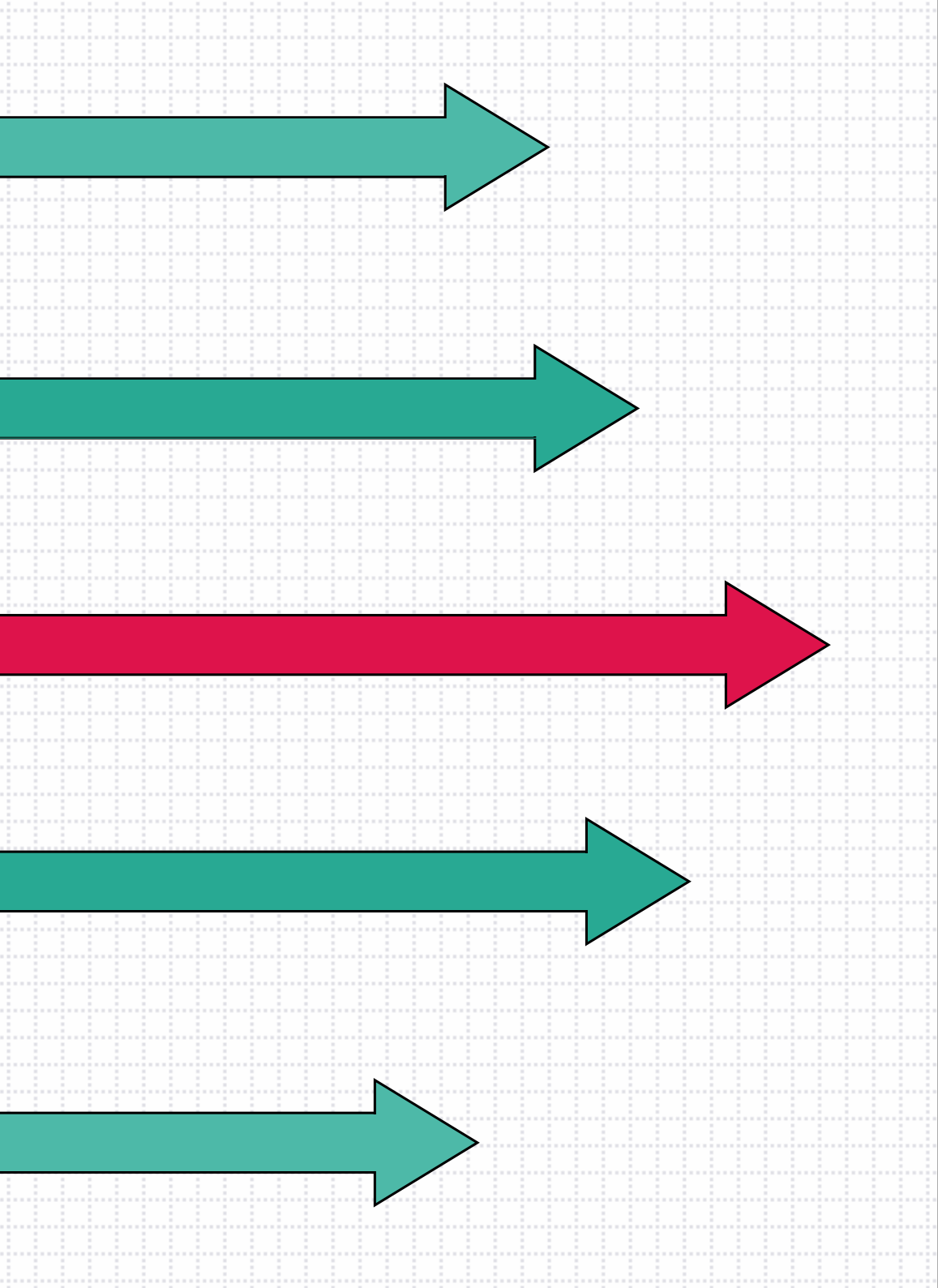


Three-year headcount CAGR (latest accounts 2018–2021)



19.6%
mean 3-year CAGR in turnover
for companies that received
equity investment
(latest accounts filed 2018 to 2021)

5.1%
mean 3-year CAGR in turnover
for companies that did not receive
equity investment
(latest accounts filed 2018 to 2021)



2

Welsh growth leaders

- Top sectors for Welsh high-growth firms
- Case studies: Momentum, Coincover, Marine Power Systems and Victorian Sliders
- Top exits by Welsh high-growth businesses

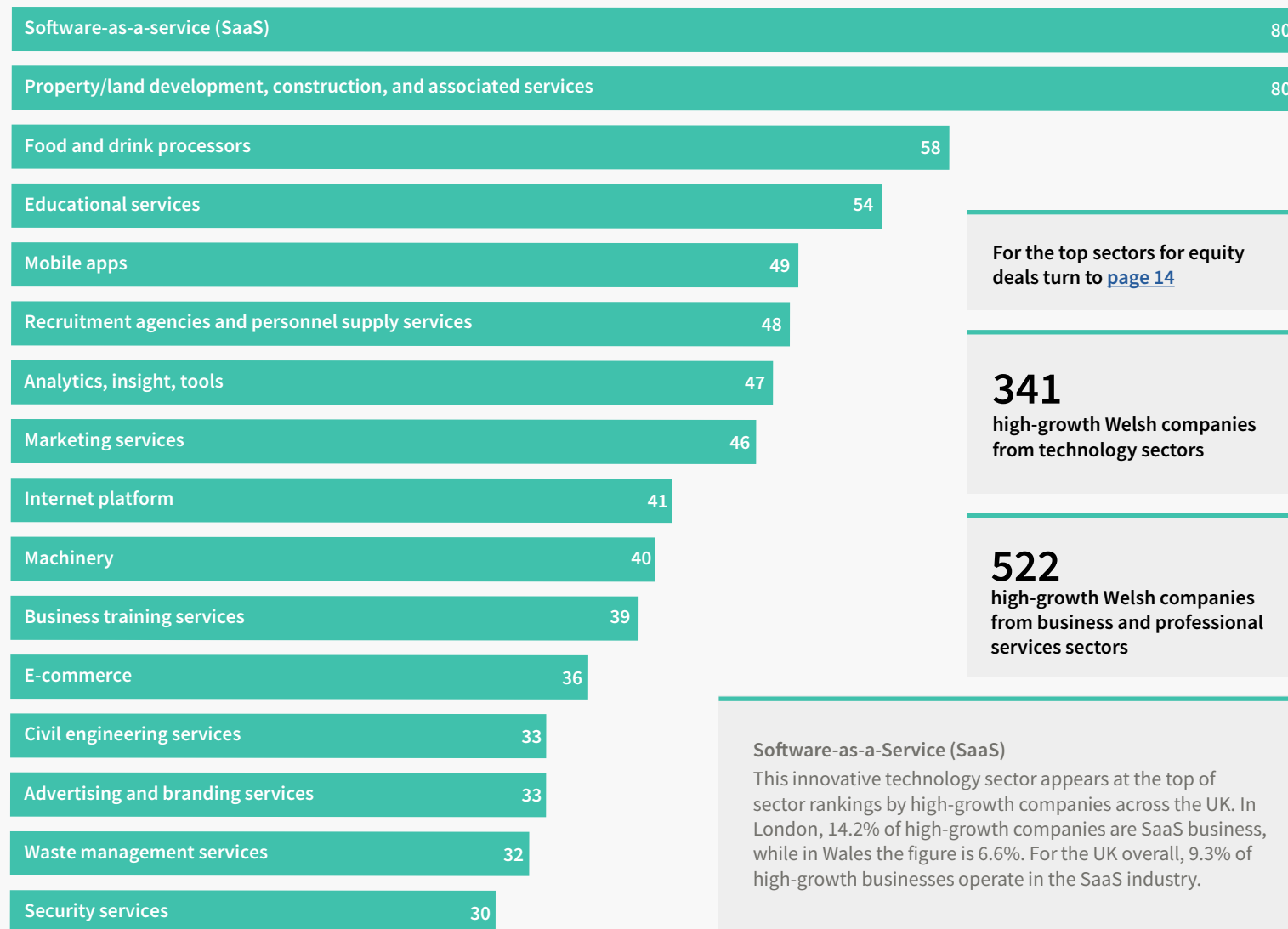
Top sectors for Welsh high-growth firms

One of the top sectors where high-growth Welsh businesses are operating is Software-as-a-Service (SaaS), with 80 currently active companies. Between 2011 and 2020, Welsh SaaS companies raised £145m in equity investment across 217 deals—a full breakdown of investment across the sectors is on page 14 of this report. Outside these figures, the Welsh ecosystem also supports Software-as-a-Service businesses with satellite offices in Wales and headquarters elsewhere. Artificial Intelligence startup We Build Bots is based in Cardiff as well as London, and has secured four fundraising rounds, including £250k from the Development Bank of Wales.

Wales is also a centre for businesses in high-growth property/land development, construction, and associated services, with the same number headquartered in the region as SaaS businesses. Some of these companies will be traditional construction groups, others will be tech-driven “proptech” companies. Companies in the sector include SystemGlaze, hatch, and Urban Intelligence, all of which have raised equity investment, contributing to the strength of the Welsh property development and construction sector.

A total of 522 active high-growth companies fall under the umbrella of business and professional services, which includes sectors such as recruitment agencies, and analytics and insights.

Top sectors in Wales by the number of active high-growth companies (2021)



Companies can be assigned more than one sector and therefore may be counted multiple times.

For the top sectors for equity deals turn to [page 14](#)

341
high-growth Welsh companies
from technology sectors

522
high-growth Welsh companies
from business and professional
services sectors

Software-as-a-Service (SaaS)

This innovative technology sector appears at the top of sector rankings by high-growth companies across the UK. In London, 14.2% of high-growth companies are SaaS business, while in Wales the figure is 6.6%. For the UK overall, 9.3% of high-growth businesses operate in the SaaS industry.

Welsh high-growth company case studies



Sector	Clinical diagnostics/medical devices
Incorporation date	October 2005
Headquarters	Cardiff
Total funding raised	£14.8m
Headcount (FYE 2020)	13

Focused on innovation in clinical diagnostics, Momentum is developing technology to allow rapid and highly sensitive detection of pathogens in blood when sepsis is suspected in a patient, meaning medical staff are more informed to act quickly. The company has been popular with investors, raising £14.8m of equity funding over 13 rounds from a range of sources including business angels and venture capital. Momentum's crucial backer has been the Development Bank of Wales, which has provided funding through seven deals between 2014 and 2020. The bioscience venture has also been awarded four Innovate UK grants worth £1.51m to improve patients outcomes in cases of sepsis.



Sector	Financial security software/cryptocurrency
Incorporation date	May 2018
Headquarters	Cardiff
Total funding raised	£7.26m
Headcount (FYE 2020)	5

Cryptocurrency is rapidly catching more mainstream attention, however it remains a form of currency hugely targeted by hackers or easily lost by human error. Launched in 2018, fintech venture Coincover combines insurance and digital security technology to provide protection for digital assets. The company has already secured five fundraising rounds with the Development Bank of Wales as a key investor. Most recently, Coincover raised £5.05m from US investors Avon Ventures, CMT Digital and DRW Venture Capital in addition to British fund Element Ventures, demonstrating the recognition of Welsh innovation talent from overseas. Occurring in July 2021, this deal gave Coincover a post-money valuation of £20m.



Welsh high-growth company case studies



MARINE POWER SYSTEMS

Sector	Clean energy generation
Incorporation date	August 2008
Headquarters	Swansea
Total funding raised	£9.13m
Headcount (FYE 2020)	12

Marine Power Systems develops technology that harvests energy from the oceans. The company offers multiple devices: a mechanism that converts energy from waves, floating wind turbines that can be anchored even in water too deep for fixed foundations, or a dual device that can do both. This marine energy technology is designed to be stable and high-performance, and easy to manufacture, transport, deploy and maintain. Marine Power Systems has secured equity investment from business angels and crowdfunding platforms, and most recently raised a round worth £4.12m in August 2021. The renewable energy venture has also received ten grants worth £9.44m from public bodies including Innovate UK and the Welsh government's SMARTCymru.



Sector	Specialist window manufacturer
Incorporation date	December 2005
Headquarters	Carmarthenshire
Total funding raised	£14.0m
Headcount (FYE 2020)	186

Though based in the small former mining town of Ammanford in Carmarthenshire, Victorian Sliders is a major manufacturing centre of sliding sash windows and reported turnover of £18.5m in 2020. The firm has a 240,000 sq ft factory at its headquarters with state-of-the-art equipment for extrusion, cutting, welding and glazing, in addition to multiple office locations around the UK. Victorian Sliders took £1.5m of loan investment in 2017 from the Development Bank of Wales as well as £300k in 2020 from the Coronavirus Business Interruption Loan Scheme (CBILS). In 2021, Victorian Sliders secured its first equity funding—£14m from BGF Growth Capital to assist in further accelerating growth.

Top exits by Welsh high-growth businesses

Forming around 3% of all UK exits, 106 high-growth Welsh businesses have exited the ecosystem since 2011, with seven undergoing an IPO and 99 choosing to be acquired. Raising equity remains vital for many businesses to make the full journey through the high-growth ecosystem; 44% of the 106 exits had previously raised equity, and this figure rises to 61% for those operating in the technology sector.

Six of the seven high-growth Welsh businesses that underwent an IPO chose to list on the Alternative Investment Market (AIM). Based in Bridgend, building materials supplier Brickability raised £56.7m from its 2019 IPO and achieved the largest market capitalisation at IPO to date among Welsh high-growth firms of £150m. High-growth Welsh businesses have also received international interest. Microelectronics manufacturer SPTS Technologies was acquired in 2014 by Israeli technology company Orbotech, while Invertek Drives was bought by Japanese firm Sumitomo Heavy Industries in 2019.

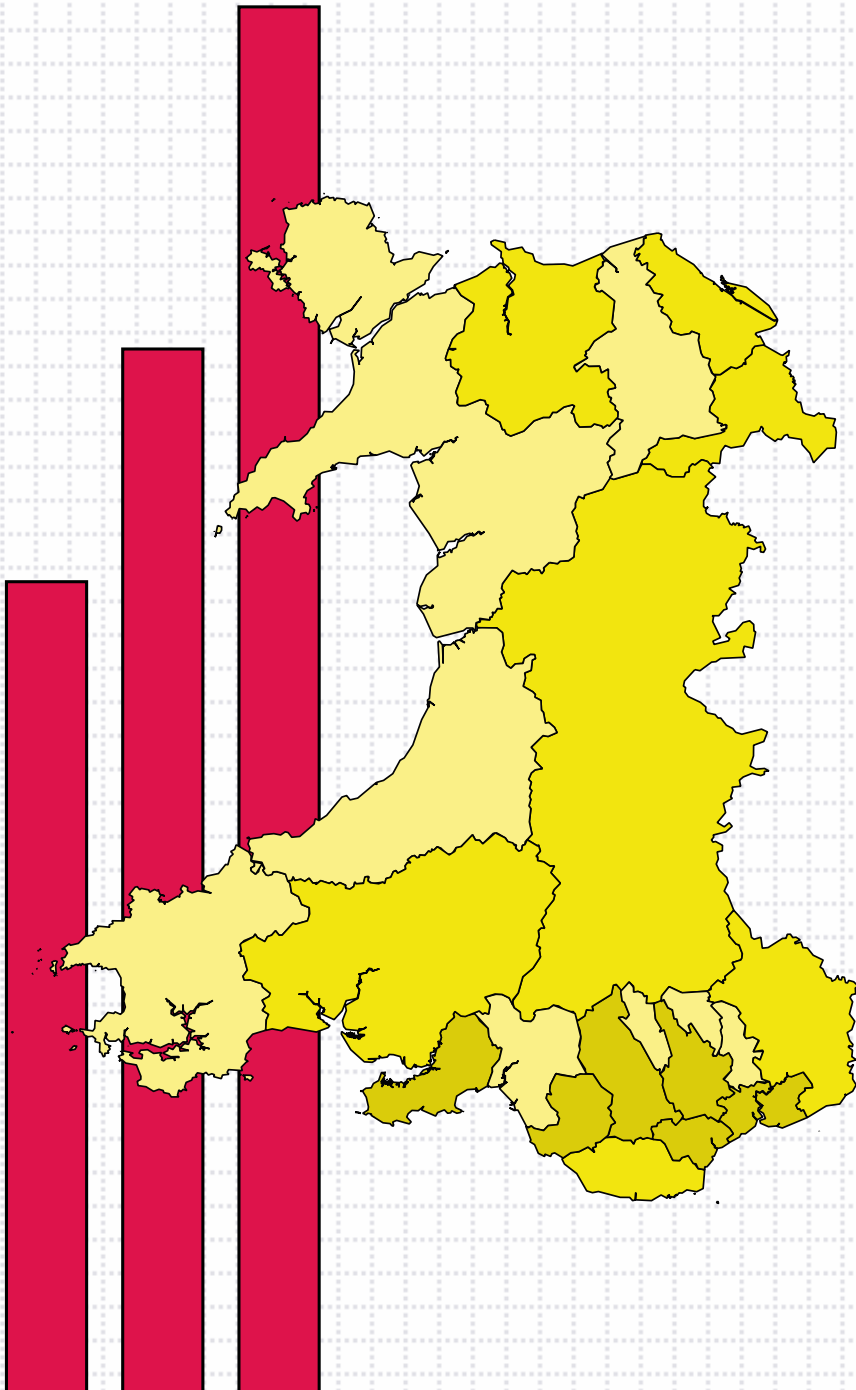
Other high-growth companies in the UK have also exited with the support of the Welsh ecosystem. Based in both the Alderley Park BioHub in Cheshire and a lab in Denbighshire in northwest Wales, the growth of BiVictriX Therapeutics was supported by the Development Bank of Wales across multiple equity rounds and its 2021 IPO. Founder and CEO Tiffany Thorn is now one of the youngest female CEOs of a UK-based publicly listed technology firm.

Top exits by IPO by Welsh high-growth businesses since 2011

Company	Exit date	Stock exchange	Market capitalisation
Brickability	08/2019	AIM	£150m
Cellnovo	07/2015	Euronext Paris	£82m
Diurnal	12/2015	AIM	£75m
Midatech	12/2014	AIM	£74m
Creo Medical	12/2016	AIM	£61m
Itaconix	07/2012	AIM	£53m
MedaPhor	08/2014	AIM	£10m

Top exits by acquisition by Welsh high-growth businesses since 2011

Company	Exit date	Acquirer	Consideration paid
SPTS Technologies	07/2014	Orbotech	£216m
Target Group	05/2016	Tech Mahindra	£112m
Invertek Drives	09/2019	Sumitomo Heavy Industries	£100m
Orangebox	09/2018	Steelcase	£60m
Oodle Car Finance	02/2017	KKR Private Equity	£60m
Dr Organic	08/2015	The Nature's Bounty Co.	£55m
N R Evans Distribution	07/2016	NFT Distribution	£20m



3

Investment in Wales since 2011

- Equity investment into Welsh businesses
- Top sectors for equity investment
- Top investors by number of deals
- Top co-investors by number of deals
- Activity by business angel networks
- Geographic sources of investment in Wales
- Top equity fundraisings in 2020 by amount invested

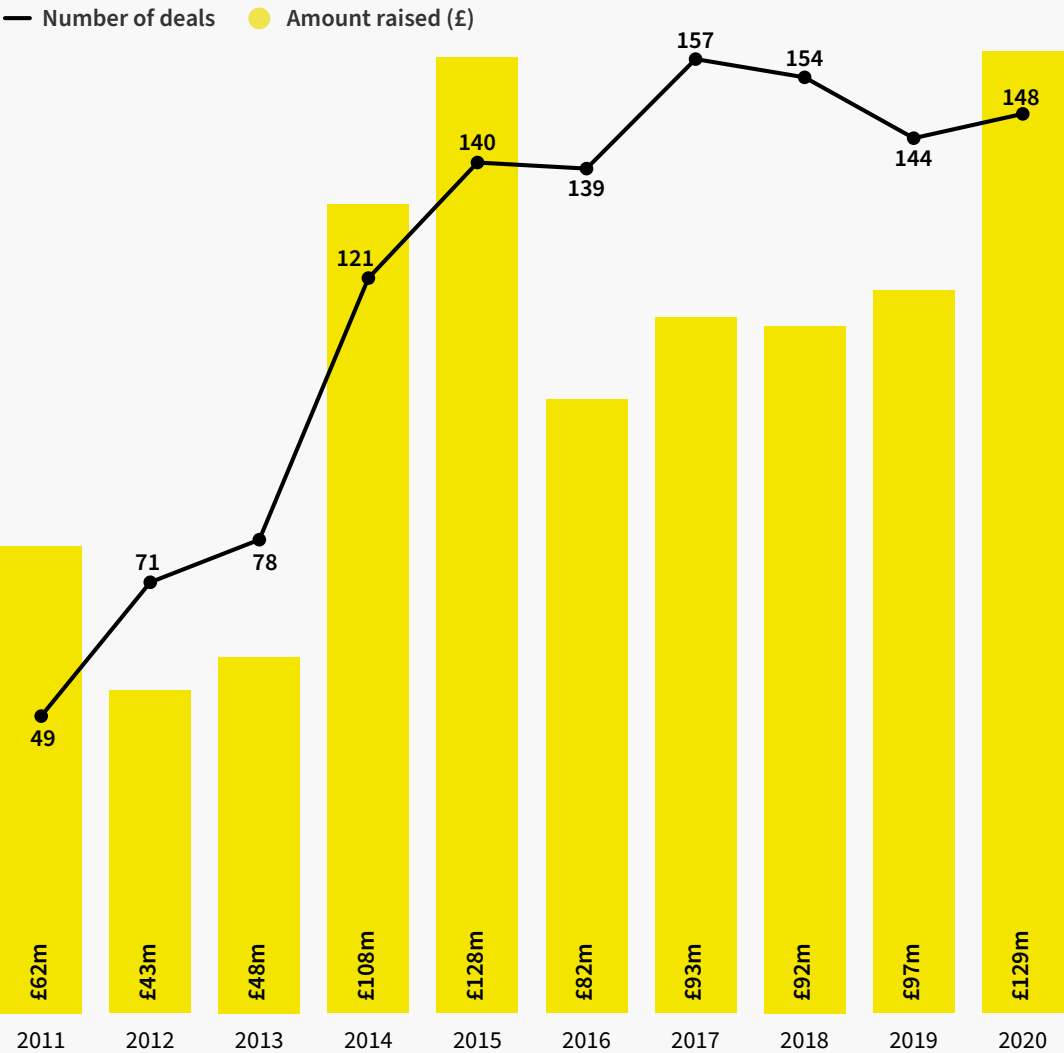
Equity investment into Welsh businesses

Over £880m of equity funding was invested into high-growth Welsh businesses in the decade between 2011 and 2020 across more than 1,200 deals. One of the companies raising large amounts of equity is CSC, known in full as the Compound Semiconductor Centre. The space offers access to cutting-edge facilities for product and skills development and commercialisation of semiconductor material technologies. CSC, a Cardiff University spinout, has raised £54.3m of equity investment over three rounds, including a £51.4m deal in 2015 which contributed to a distinct peak in investment activity that year.

While the most deals occurred in 2017 at 157, the largest volume of investment took place in 2020 at £129m, suggesting the confidence of investors in innovative Welsh companies has remained, in spite of uncertainty caused by the pandemic. The top equity deals of 2020 are outlined on page 19.

More than a third of the deals over the 10 years were instances of companies raising equity for the first time, demonstrating that the Welsh ecosystem is growing all the time. With new innovation continually coming to the fore, the outlook for investment opportunities in Wales looks bright.

Equity investment into Welsh businesses (2011-2020)



£882m
total value of equity investment
2011-2020

1,201
total number of equity deals
2011-2020

£802k
average size of an equity deal
2011-2020

466
first-time equity deals for a
company 2011-2020

Top sectors for equity investment in Wales

At roughly double the second ranking sector on each list, the top sector for both the number of deals and volume of investment in Wales is Software-as-a-Service—also a top sector in the UK as a whole. The Software-as-a-Service recipients of the most investment include data analytics technology firms Clinithink which raised £26.1m across 13 deals, and AMPLYFI with £10.7m over 10 deals. Other technology sectors also ranked highly in Wales by the number of equity deals in the last decade; Internet platform businesses secured 108 deals

while mobile app companies raised 105. These industries are seeing innovation in FinTech, eHealth and educational technology among other areas. The high ranking by equity value sectors of materials technology and collaboration tools are strongly linked to the Compound Semiconductor Centre (CSC). With three equity fundraisings worth £53.4m, almost three quarters of the £72.2m raised in materials technology was secured by the CSC, as well as 88% of the £60.4m into collaboration tools.

Top sectors by total number of equity deals secured by Welsh businesses (2011-2020)

Software-as-a-service (SaaS)	217
Internet platform	108
Mobile apps	105
Analytics, insight, tools	100
Medical devices	57
Research tools/reagents	56
Clinical diagnostics	51
Food and drink processors	48
Healthcare products	47
Consumer banking/financial services	45
Security services	44
E-commerce	44
Business banking/financial services	37
Marketing services	37
Educational services	36
Pharmaceuticals	36

Top sectors by total value of equity deals secured by Welsh businesses (2011-2020)

Software-as-a-service (SaaS)	£145m
Materials technology	£72.2m
Analytics, insight, tools	£66.7m
Clinical diagnostics	£61.0m
Collaboration tools	£60.4m
Consumer banking/financial services	£58.2m
Semiconductors	£57.8m
Internet platform	£55.9m
Medical devices	£54.1m
Pharmaceuticals	£53.0m
Business banking/financial services	£52.2m
E-commerce	£51.8m
Research tools/reagents	£48.3m
Security services	£43.5m
Toys, games and sports equipment	£39.9m
Mobile apps	£33.0m

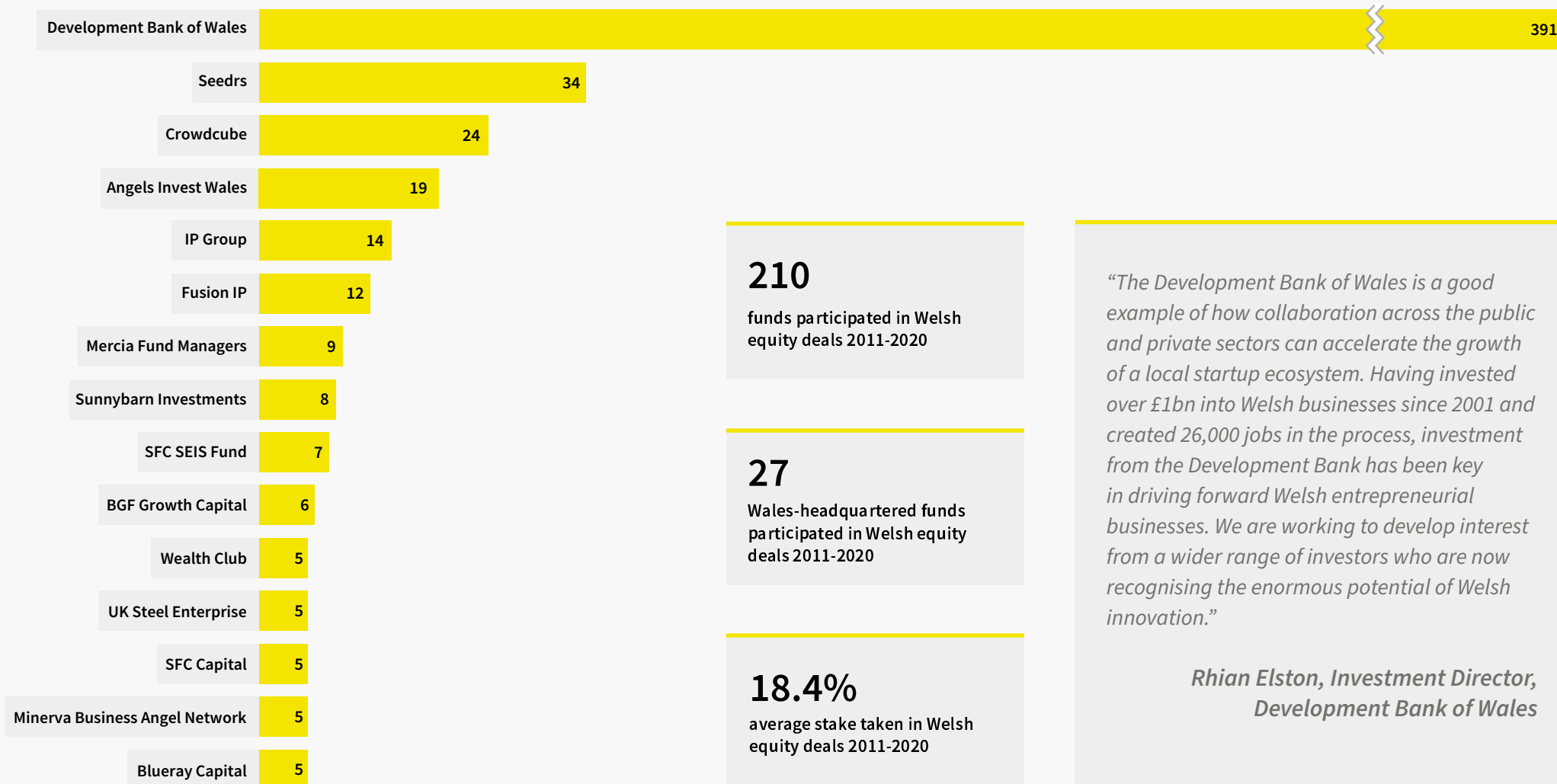
Companies can be assigned more than one sector and therefore may be counted multiple times.

Top investors in Welsh businesses

The Development Bank of Wales dominates as the biggest equity investor into Welsh high-growth businesses. Set up by the Welsh government, the Development Bank aims to boost the economy of the region by providing finance to high-potential ventures across a broad portfolio of equity and loan funds. Development Bank of Wales funds participated in 470 unique equity deals between 2011 and 2020, strengthening the Welsh high-growth landscape by elevating untapped startup innovation.

Another popular method for raising capital was crowdfunding, with well-known platforms Seedrs and Crowdcube ahead of traditional private equity and venture capital firms. The majority of companies using crowdfunding were in the seed-stage at the time of fundraising, with the size of a deal averaging at £482k by mean and £280k by median. With other backers less willing to invest at such an early and therefore risky stage, crowdfunding has become an important means of fundraising.

Top investors into Welsh businesses by number of participations in equity deals (2011-2020)

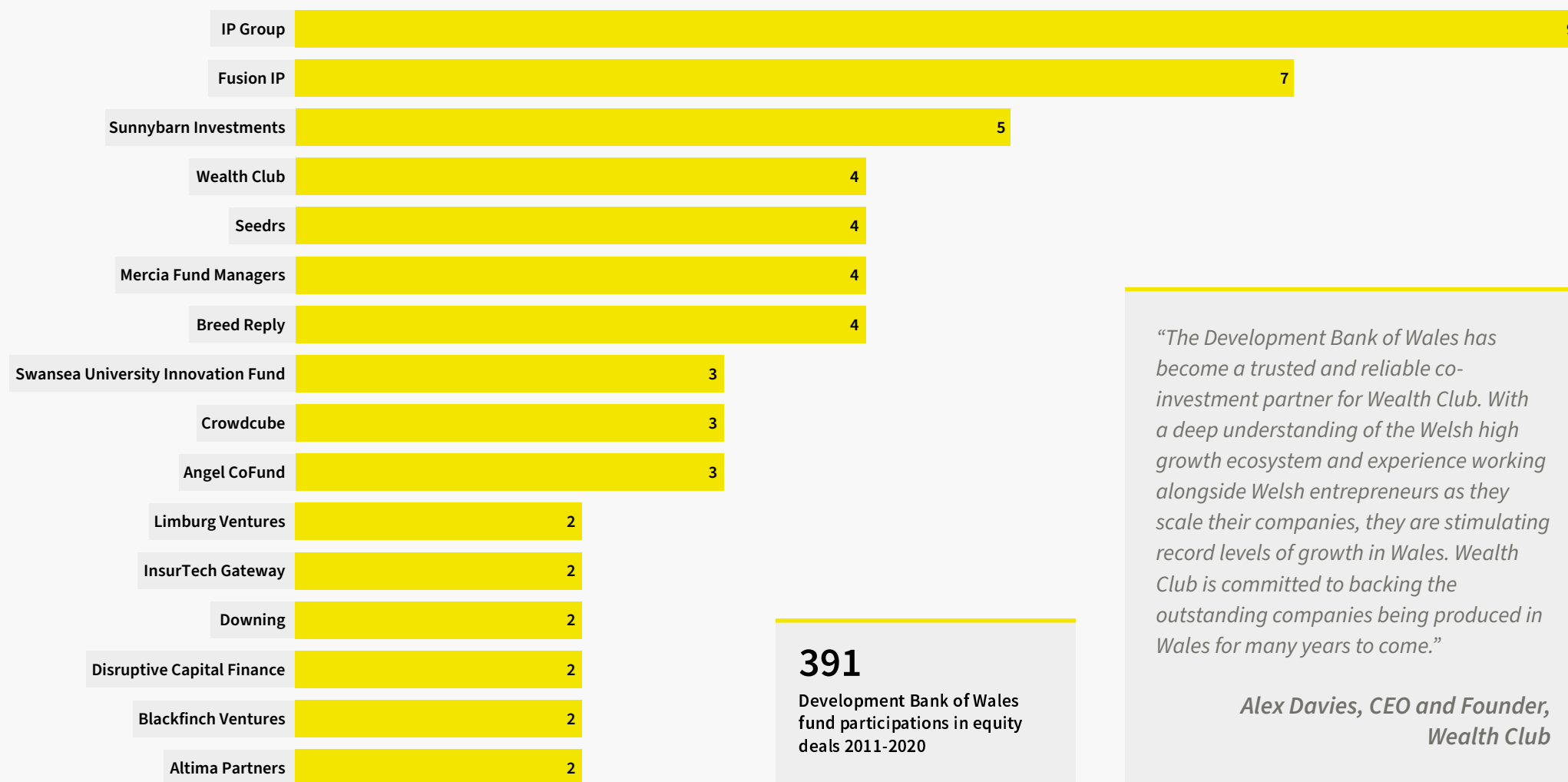


Top co-investors with the Development Bank of Wales

Co-investment comes with great benefits; companies can access more capital and more expertise, while investors are able to diversify their portfolios and connect with more entrepreneurs. Participating in 29% of all equity deals raised by Welsh high-growth companies between 2011 and 2020, the Development Bank of Wales is not only the top investor into Welsh business but also a major co-investor with other

funds. The Cardiff University spinout Alesi Surgical, which develops innovative medical devices to improve the safety and efficiency of surgery, has secured nine equity rounds since 2010. The Development Bank co-invested with other British funds including IP Group and Fusion IP as well as Italian private equity firm Panakes Partners and German fund Earlybird.

Top co-investors with the Development Bank of Wales by number of participations in publicly announced equity deals into Welsh businesses (2011-2020)



391

Development Bank of Wales
fund participations in equity
deals 2011-2020

“The Development Bank of Wales has become a trusted and reliable co-investment partner for Wealth Club. With a deep understanding of the Welsh high growth ecosystem and experience working alongside Welsh entrepreneurs as they scale their companies, they are stimulating record levels of growth in Wales. Wealth Club is committed to backing the outstanding companies being produced in Wales for many years to come.”

**Alex Davies, CEO and Founder,
Wealth Club**

Activity by business angel networks

Angel networks facilitate investment from groups and individual angel investors, who tend to be high-net-worth individuals that offer very early-stage capital where other backers may not yet be willing. Networks of angels share opportunities for investment and often syndicate their funds in order to make larger deals with a greater number of companies. For the youngest companies in the high-growth ecosystem, angel networks can be essential as they benefit not only from finance they may not get anywhere else, but also from their angels' support and expertise. Between 2011 and 2020, 19 angel networks invested in 38 different Welsh companies over a total of 49 equity deals.

Syndicated deals are on the rise; the collaboration of angel networks on equity deals mean high-growth companies can benefit from a wider range of investors and their benefits. Headquartered in Cardiff, regenerative medicine venture Jellagen has received funding from a combination of angel networks including Angels Invest Wales, London Business Angels, Angels in MedCity, and Newable Ventures. To date, Jellagen has secured £8.5m of fundraisings and £1m in grants.

Top angel networks by investments into Welsh companies (2011-2020)



49

total number of equity deals in Wales 2011-2020 with at least one angel network participation

19

unique angel networks participated in Welsh equity deals 2011-2020

“Angel investors are showing increasing interest in the Welsh startup landscape. Angel investment is a highly attractive funding route for entrepreneurs as they start their growth journey and there is a growing community of founders and entrepreneurs working together in Wales to create businesses with significant future potential. Wales is fast becoming a startup ecosystem that investors simply can’t ignore.”

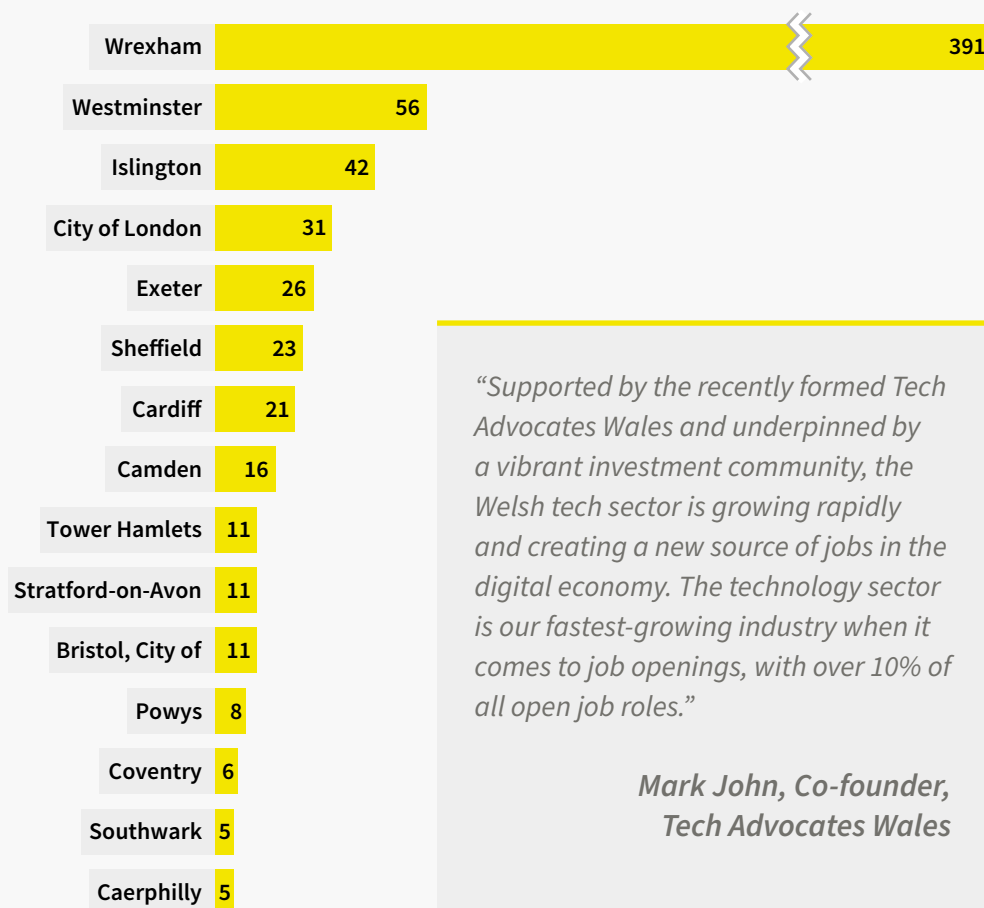
**Jenny Tooth OBE, CEO,
UK Business Angels Association (UKBAA)**

Geographic sources of investment in Wales

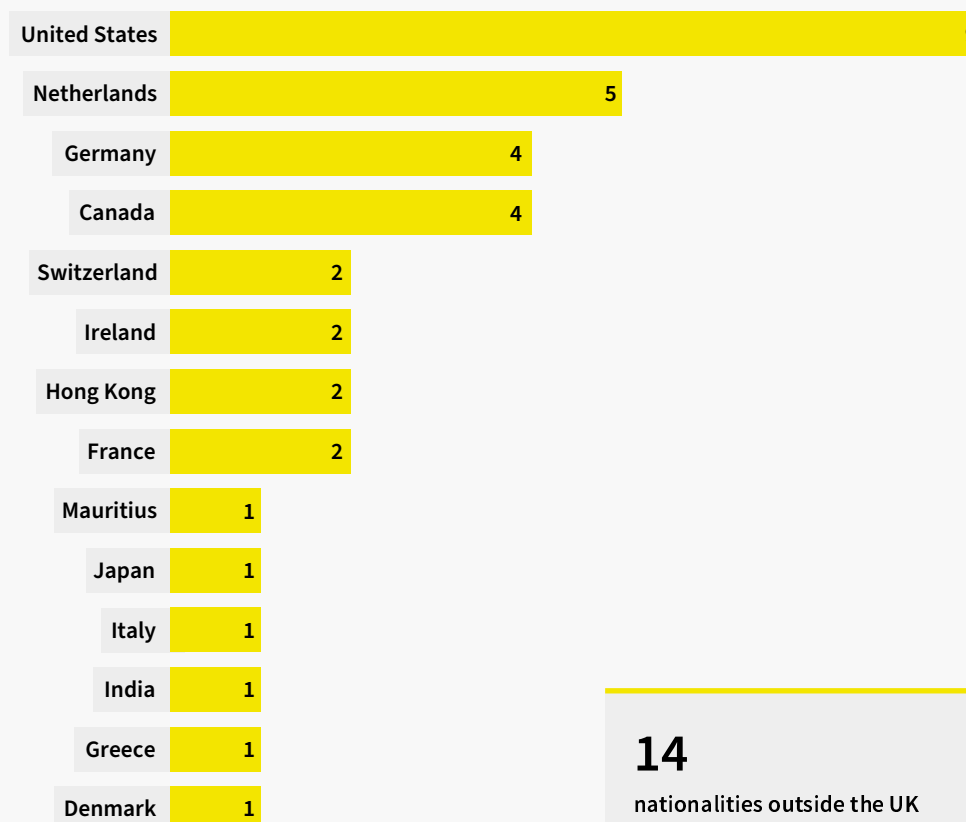
Home to the headquarters of the Development Bank of Wales, the biggest investor into Welsh businesses, Wrexham naturally ranks as the top local authority by announced equity deals. Westminster, Islington and the City of London come in second, third and fourth, making London the secondary key hub for investment in Wales. This is to be expected as the city holds the headquarters of major funds such as BGF Growth Capital, IP Group and SFC Capital. Welsh innovation and talent have also received attention from international investors in North

America, Europe, Asia and Africa. Launched in 2015 by former BBC executives Julie Gardner and Jane Tranter, Cardiff-based television production company Bad Wolf has taken equity from US investors Access Industries, HBO and Sky Startup Investments & Partnerships. Bad Wolf has established itself as a major film studio in Wales, with rapid scaling from a headcount of 10 and turnover of £1.82m in 2016 up to 270 employees and £90.5m in 2019—a staggering 27x headcount increase and over 45x turnover growth.

Top UK local authorities by investor participations* in announced equity deals into Welsh businesses, based on investor head office location (2011-2020)



Top countries excluding the UK by investor participations* in announced equity deals into Welsh businesses, based on investor head office location (2011-2020)



14

nationalities outside the UK participated in announced equity deals in Wales

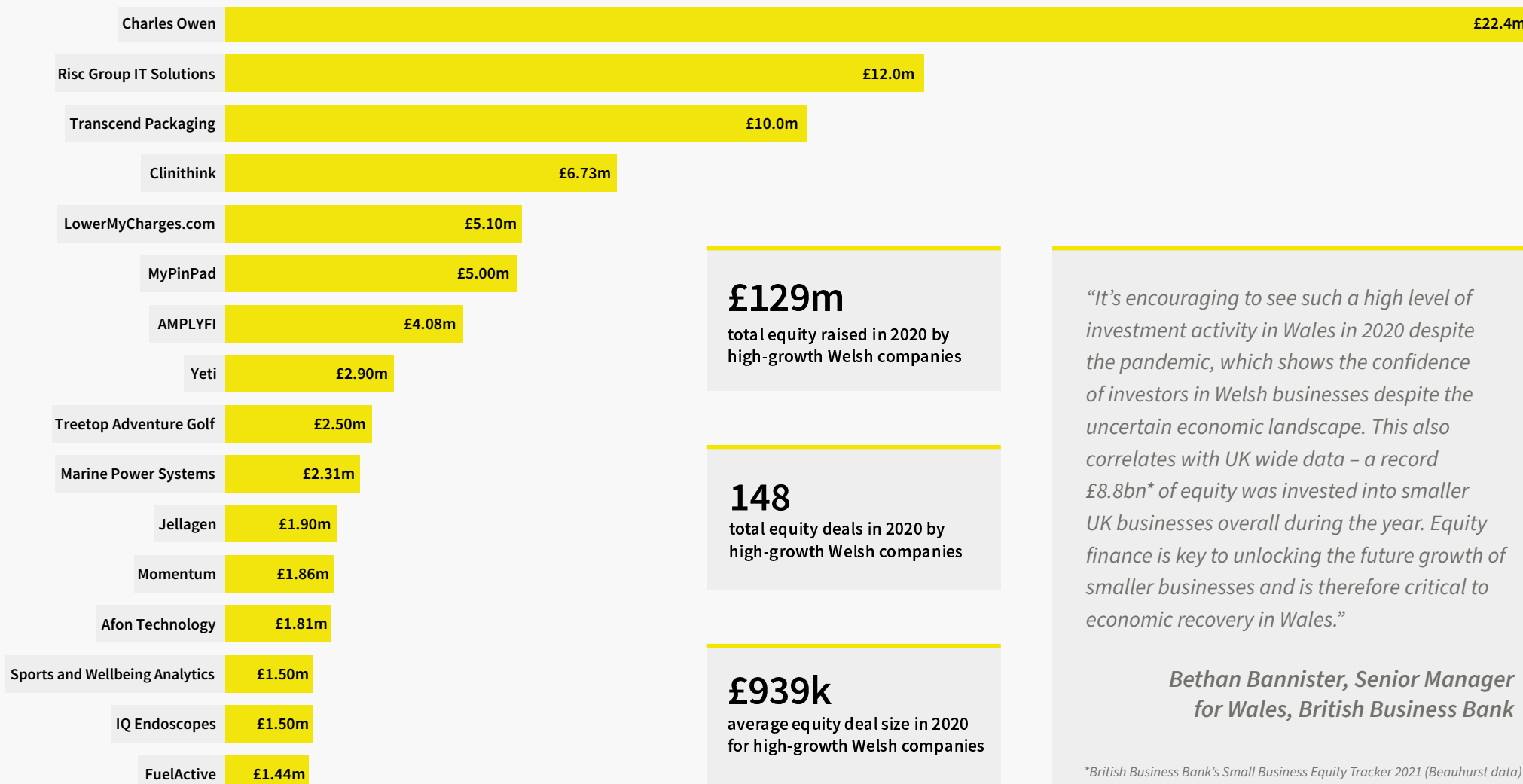
*“Participation” refers to the involvement of a fund (or other investment organisation) in a deal. A single deal can account for multiple participations. The Development Bank of Wales is responsible for all the investor participations in Wrexham.

Top equity fundraisings of 2020

Despite the pandemic, 2020 remained a strong year for investment for the fast-growth business ecosystem in Wales, with 148 deals worth £129m secured, up from 144 fundraisings with a total value of £97m in 2019. Confidence in Welsh business appears to be persisting, with the average equity round in 2020 being £939k, higher than the £808k average for the entire decade between 2011 and 2020.

At £22.4m in December 2020, the largest investment of the year was secured by Charles Owen from undisclosed investors. This horse-riding helmet producer was established in 1911 and has remained in the same family for four generations. Charles Owen prides itself on keeping its manufacturing in Britain with its Wrexham-housed facility, as well as the high-quality and safety of its helmets; the company was awarded a Horizon 2020 grant in 2015 for improving head protection design.

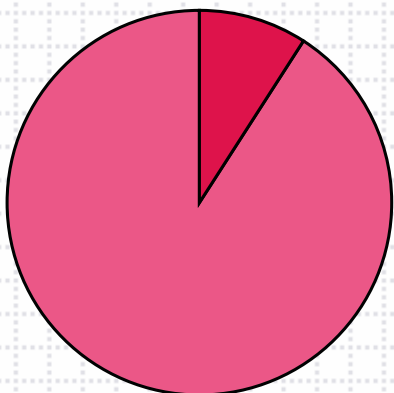
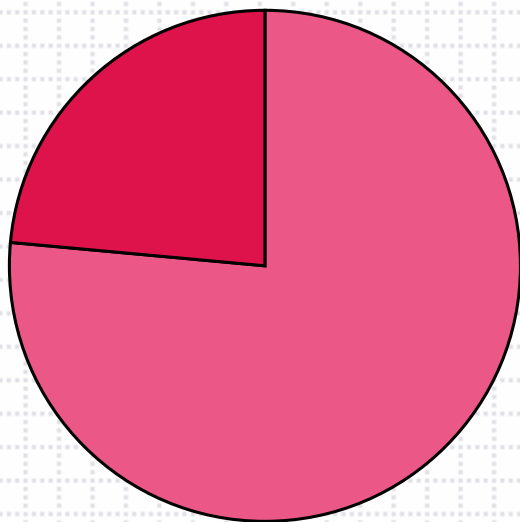
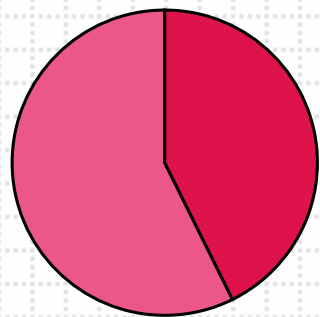
Top equity fundraisings for Welsh businesses by amount raised (2020)



“It’s encouraging to see such a high level of investment activity in Wales in 2020 despite the pandemic, which shows the confidence of investors in Welsh businesses despite the uncertain economic landscape. This also correlates with UK wide data – a record £8.8bn of equity was invested into smaller UK businesses overall during the year. Equity finance is key to unlocking the future growth of smaller businesses and is therefore critical to economic recovery in Wales.”*

Bethan Bannister, Senior Manager for Wales, British Business Bank

*British Business Bank’s Small Business Equity Tracker 2021 (Beauhurst data)



4

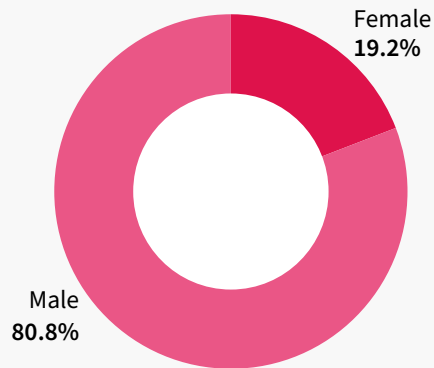
Growth dynamics in the Welsh ecosystem

- Demography of owners of high-growth Welsh businesses
- Innovate UK grants for Welsh businesses since 2011
- Spinouts from Welsh universities
- Spinouts from universities outside Wales
- Impact of COVID-19 on Welsh businesses

Demography of Welsh high-growth business owners

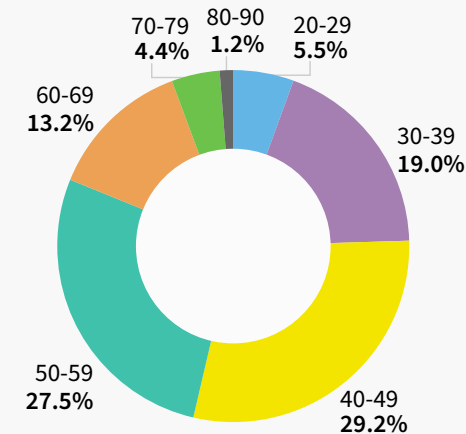
Launching innovative businesses with the ability to grow requires a continual influx of entrepreneurial and talented founders. Without them, the high-growth ecosystem would stagnate. Such business leaders can come from any background and their demography is ever-shifting. In 2021, women currently make up 19.2% of Wales’ high-growth founders. Though women are still greatly underrepresented in the equity landscape, this figure represents a rising number of female

entrepreneurs, leading companies in several sectors including business services, education, food and drink, mobile apps and Software-as-a-Service. The Welsh ecosystem is also made up of founders from a range of age groups, with 24.5% under 40 years of age and 5.5% under 30. In addition, there are currently 61 entrepreneurs with a non-UK nationality who are founders of active high-growth businesses headquartered in Wales.



Gender breakdown of Welsh high-growth business founders (2021)

Almost a fifth of founders of high-growth companies in Wales are women. Access to capital, grants and other funding sources is often disproportionately more difficult for female founders, meaning becoming a high-growth business is on average a greater challenge.

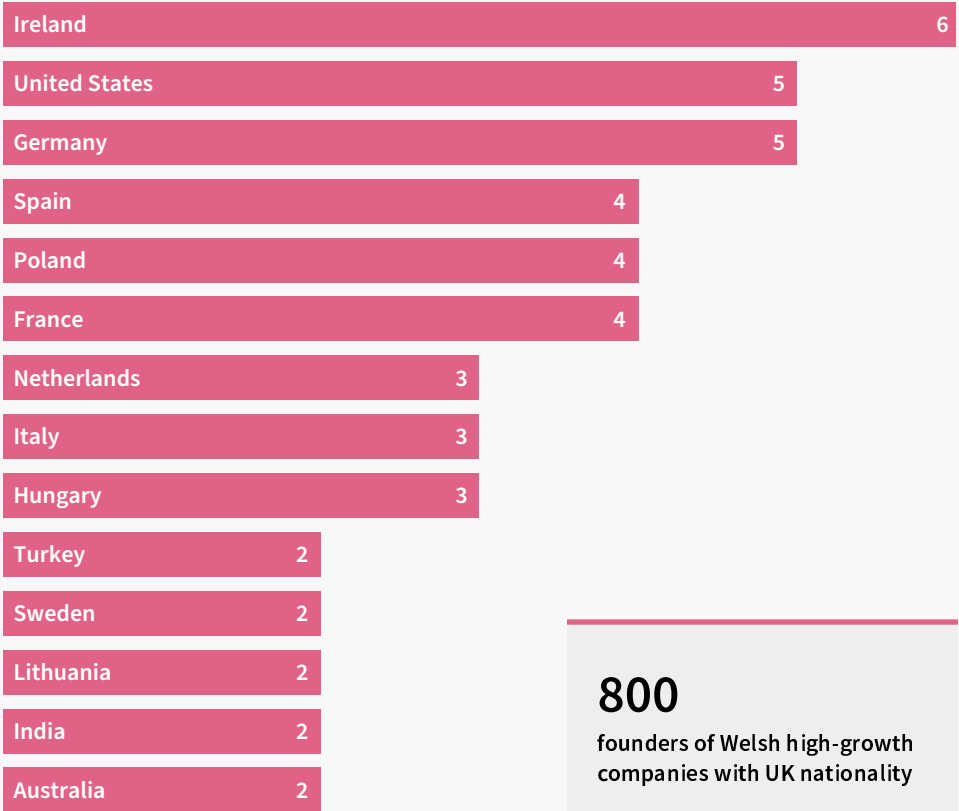


Age breakdown of Welsh high-growth business founders (2021)

The high-growth Welsh ecosystem is led by founders of all ages, with the vast majority currently aged between 30 and 59, meaning the most likely age bracket for incorporating a company is 30 to 39.

Nationality breakdown of founders of high-growth businesses in Wales, excluding UK (2021)

Unsurprisingly due to geographical proximity, international founders are most likely to be from Ireland, and then other European countries. As well as Ireland, the United States and Australia feature on the list, likely linked to also being English speaking. In addition to those on this ranking, there was one founder each from Argentina, Austria, Czech Republic, Denmark, Egypt, Greece, Libya, Mexico, Nigeria, Norway, Singapore, Slovakia, South Africa and Zimbabwe.



800
founders of Welsh high-growth companies with UK nationality

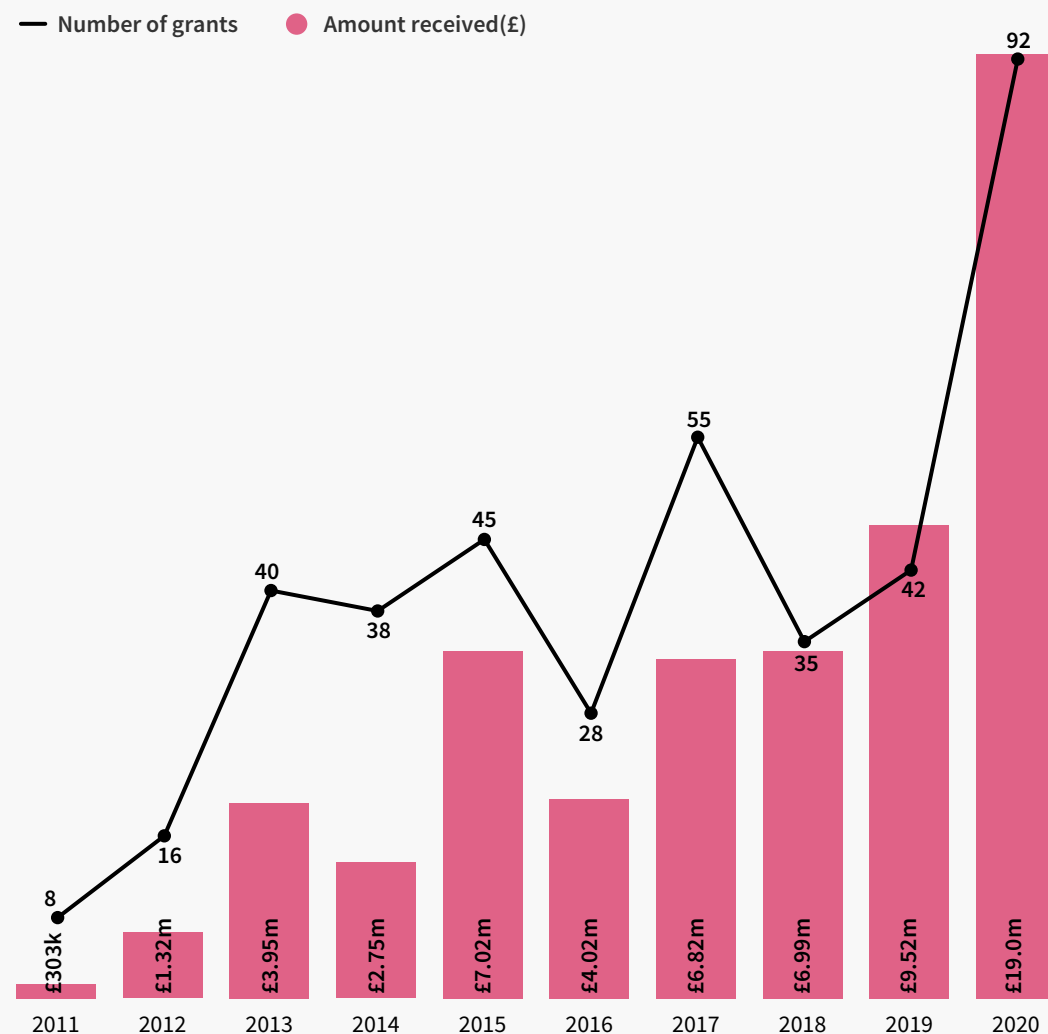
Innovate UK grants for Welsh businesses

Other than equity investment, an important means of finance for some high-growth companies is grant funding. Part of the UK Research and Innovation public body, Innovate UK plays a huge role in financially supporting novel business and research to become commercially viable. In Wales, the top two recipients of Innovate UK grants by total received between 2011 and 2020 were semiconductor firms CSC and Newport Wafer Fab, obtaining £4.17m and £2.35m respectively.

Other top grantees include BIC Innovation which offers a range of business support programmes and consultancy services to SMEs; CleanTech firm Fiberight that converts solid waste into renewable biofuels; and QLM Technology that develops oil and gas sensors for gas leak detection and environmental monitoring.

The biggest year for grant funding awarded to Welsh companies was by far 2020. Several of these grants were to support projects relating to the pandemic, such as Swansea-located Haemair's research into a life support machine that performs oxygenation and dialysis that is less risky to patients and easier for clinicians to manage than mechanical ventilation. However, a large number were granted to companies in other sectors, such as software, analytics, manufacturing and agriculture, demonstrating the rich variety of Welsh innovation.

Innovate UK grants awarded to high-growth Welsh businesses (2011-2020)



£61.7m

total value of IUK grants
2011-2020

399

total number of IUK grants
2011-2020

£155k

average size of an IUK grant
2011-2020

16

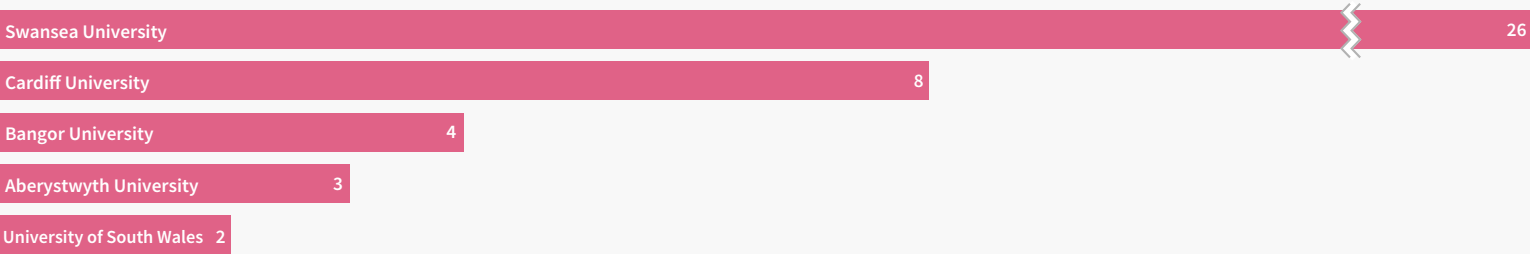
further IUK grants for exited high-growth companies 2011-2020

Spinouts from Welsh universities

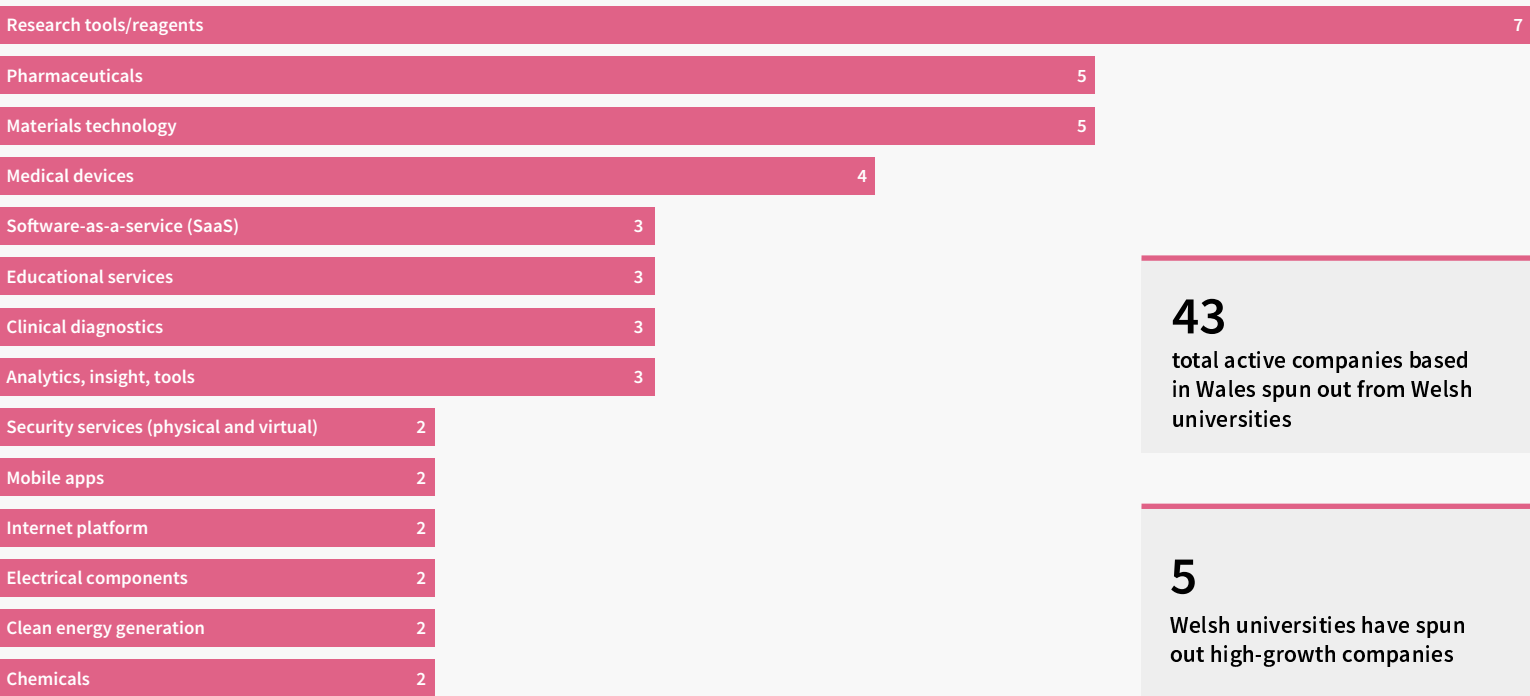
Academic spinouts represent a route for university researchers to commercialise innovative work. These companies can benefit hugely from their academic institutions, drawing from intensive research and development, access to state of the art technology and workspaces, and contact with a wide support network. Some universities will also offer capital, either directly or through a linked venture fund. Considering these benefits directly impact growth potential, spinouts tend to garner lots of interest from investors. Five Welsh universities have spun out companies based in the region, with 43 currently active in the high-growth space. More businesses than any other Welsh university, Swansea University has seen 26 companies emerge, including Cross-Flow Energy, Calon Cardio, and Bionema.

The top sectors for Welsh spinouts are linked to health and medicine; research tools, pharmaceuticals, medical devices and clinical diagnostics rank highly, caused by top medical researchers typically working in university laboratories before founding a company to commercialise their innovation. Another key sector for Welsh spinouts is materials technology. Borne out of Swansea University in 2016, Hexigone Inhibitors creates technology that inhibits corrosion. The company has attended two accelerators and taken equity and loan fundraising as well as six grants with a combined value of £215k.

Welsh universities by number of academic spinout companies (active in 2021)



Top sectors for academic spinout companies from Welsh universities (active in 2021)



43
total active companies based in Wales spun out from Welsh universities

5
Welsh universities have spun out high-growth companies

Spinouts from universities outside Wales

Indicating the attractiveness of the Welsh high-growth ecosystem as a space to lead a business, there are 11 high-growth companies headquartered in Wales that spun out from institutions elsewhere in the UK. These companies are: QLM Technology, Haemair, Cotton Mouton Diagnostics, Curapel, Dynamic Extractions, Concrete Canvas, Ceryx Medical, Sonic Driver, A little bit brilliant, Celltron Networks and Deploy Tech.

Jointly spun out of the universities of Bristol and Bath in 2016, Ceryx Medical is a seed stage MedTech developing bioelectronic devices. In 2020, the company raised a £575k equity round from business angels, the Development Bank of Wales, and the University of Bristol Enterprise Fund, highlighting the collaboration between a major funder of Welsh innovation and UK universities.

Cotton Mouton Diagnostics, a clinical diagnostics venture of both the University of Exeter and Cardiff University, secured six investment rounds worth £2.56m between 2016 and 2020, with the Development Bank as a key backer.

Universities outside Wales by number of academic spinout companies in Wales (active in 2021)

University of Bristol	2
Royal College of Art	2
University of Warwick	1
University of the West of Scotland	1
University of Oxford	1
University of Manchester	1
University of Leeds	1
University of Exeter	1
Brunel University	1

9

universities outside Wales have spun out Wales-headquartered companies

Top sectors for academic spinout companies in Wales from universities outside Wales (active in 2021)

Medical devices	2
Materials technology	2
Research tools/reagents	1
Pharmaceuticals	1
Oil and gas	1
Internet and networking hardware	1
Clinical diagnostics	1
Building materials	1
Analytics, insight, tools	1

11

total active companies based in Wales spun out from universities outside Wales

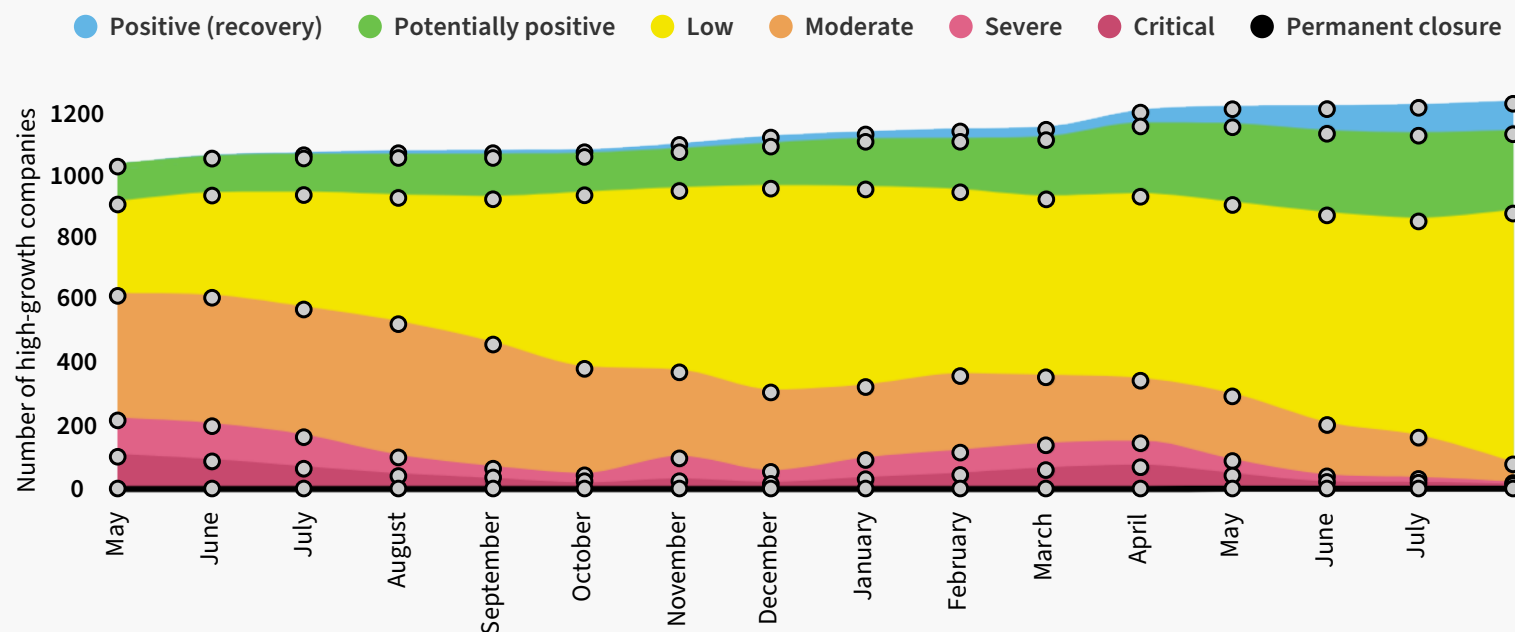
Impact of COVID-19 on Welsh high-growth businesses

As in every other region of the UK, high-growth companies in Wales were impacted by COVID-19. With physical premises forced to close, key customer losses and staff sent home, the pandemic posed a major challenge for young growing businesses. The most negative impact was felt nearest the start of the pandemic, with around a fifth of companies affected severely or critically.

Over time, high-growth companies in Wales have demonstrated their resilience and adaptability, with the number of businesses affected moderately or worse in decline, and an increasing amount in recovery. Indeed, 301 Welsh companies in the high-growth space were able to create job opportunities during COVID-19. Examples of such companies include sustainable packaging manufacturer Transcend Packaging, window glazing specialist Victorian Sliders, and data management service for gene therapy patients Trakcel.

A small group of companies experienced a surge in demand during the pandemic. These 82 companies operate in areas such as healthcare products and supplies, medical instrumentation, IT services, Software-as-a-Service and mobile apps. Innovating solutions to new needs, a few businesses launched during the pandemic. Based in Swansea, My Mask Fit incorporated in June 2020, developing custom-fit and reusable PPE masks. In October, Innovate UK granted £171k to support the project.

COVID-19 impact status over time for Welsh high-growth businesses (2020-2021)



301

high-growth Welsh companies that created job opportunities during COVID-19

10

high-growth Welsh companies that limited their physical services during COVID-19

82

high-growth Welsh companies that experienced a surge in demand during COVID-19

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Beauhurst is a searchable database of the UK's high-growth companies.

Our platform is trusted by thousands of business professionals to help them find, research and monitor the most ambitious businesses in the UK. We collect data on every company that meets our unique criteria of high-growth; from equity-backed startups to accelerator attendees, academic spinouts and fast-growing scaleups.

Our data is also used by journalists and researchers who seek to understand the high-growth economy, and powering studies by major organisations—including the British Business Bank, HM Treasury and Innovate UK—to help them develop effective policy.

For more information and a free demonstration, visit beauhurst.com



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The Development Bank of Wales is here to help businesses get the capital they need to start up, strengthen and grow.

Investing around £100 million per annum, our aim is to unlock potential in the economy of Wales by increasing the provision of sustainable, effective finance in the market.

Finance up to £10 million per round is available through loans and equity investment for early stage and existing businesses. We currently manage a range of public and private funds totalling over £1 billion.

When Welsh businesses are strong, Wales is strong.



Editor Henry Whorwood
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